

June 7, 2022

Senator Spiros Mantzavinos
Chair of the Senate Banking, Business &
Insurance Committee
411 Legislative Avenue
Dover, DE 19901

Senator Trey Paradee
Vice Chair of the Senate Banking, Business &
Insurance Committee
411 Legislative Avenue
Dover, DE 19901

Dear Senator Mantzavinos, and Senator Paradee:

On behalf of the Association of National Advertisers (“ANA”), we write to express our opposition to HB 262, as amended by HA 1 and HA 2 (“the proposed bill” or “HB 262”).¹ We strongly believe in the importance of transparency regarding companies’ data practices, and we support facilitating consumers’ ability to easily access ways to exercise privacy choices. However, the proposed bill is drafted exceedingly broadly such that it would fail to create benefits for Delaware consumers while simultaneously imposing unnecessary and resource-intensive requirements on the diverse businesses that serve them. We therefore respectfully oppose the proposed bill and ask you to decline to advance it further through the legislative process.

The ANA serves more than 50,000 industry members that collectively invest more than \$400 billion in marketing and advertising annually. Our members, many of them based in California, include companies of all sizes, including small and mid-sized firms, virtually all of which rely on data-driven advertising practices that give consumers access to relevant information, messaging, and advertisements at the right time and in the right place.

Our members take very seriously their responsibility to offer consumers transparency and choice regarding data collection and use activities. However, if the proposed bill is passed, it would create serious unintended consequences and negatively impact consumers and businesses alike. The proposed bill is overly broad and unnecessarily burdensome on businesses, with no added consumer benefit. The proposed bill’s definitions of “data market participant” and “brokered personal information” are extremely expansive. By including “data collectors,” defined to encompass companies that *initially collect* personal data from one or more consumers, in the definition of “data broker,” the bill would pull in businesses that are not traditionally considered “data brokers” in other contexts. Neither Vermont nor California—the two other states that maintain data broker registration laws—include the concept of “data collectors” in the scope of their registry requirements.² Those laws exclude entities that have a direct relationship with consumers from their definitions of “data broker.”³ Passing HB 262 would consequently make Delaware’s data broker registry the most expansive, unfriendly to businesses, and ineffective for consumers in comparison to similarly situated states.

Additionally, businesses that meet HB 262’s definitions would have extensive and arduous reporting requirements and other obligations, including requirements to report security breaches and develop information security programs. Delaware has established data security and data breach laws that already cover this information and require reporting to both the Delaware Department of Justice as well as affected Delaware consumers in the event of a breach; there is consequently little to no consumer benefit to reporting breach information to the Department of Justice through the registry the proposed bill would create. The proposed bill’s extensive reporting requirements would not provide added consumer protections, but would instead drain valuable resources from businesses that are already

¹ An Act to Amend Title 6 of the Delaware Code Relating to Data Brokers and Consumer Protection, H.B. 262, 151st General Assembly (2022), located [here](#).

² Vt. Stat. Ann. tit. 9, § 2430(4)(A); Cal. Civ. Code § 1798.99.80(d)

³ *Id.*

subject to Delaware laws that create similar requirements.

Businesses that collect information from consumers online are already regulated by state and federal law, which is complemented by enforceable self-regulation. Passing the proposed bill would create duplicative and unnecessary requirements and provide no additional consumer protection benefits beyond those offered under existing law. Moreover, of the only two other states in the U.S. that maintain a data broker registry, neither has the scope or breadth of HB 262. Effectively, the proposed bill's broad provisions would mean that virtually any company doing business in Delaware could be subject to registration and reporting requirements. A registry that expansive would not provide consumers with meaningful benefits, as it would merely amount to a list of companies that do business in the state. If passed, the proposed bill would therefore impose requirements that are duplicative of those under other Delaware laws as well as create a precedent that is out-of-step with the rest of the country.

Because the proposed bill is unnecessary to further consumer protection, unduly burdensome, and overly broad in a way that negatively impacts Delaware businesses, we respectfully oppose HB 262.

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Thank you for your consideration of this letter. Please contact me with any questions or requests for assistance.

Sincerely,

A handwritten signature in blue ink, appearing to read "Christopher Oswald", is positioned above the printed name.

Christopher Oswald | Executive Vice President, Government Relations
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